NEED TO KNOW

THE END OF BUNDLED MUTUAL FUNDS

The regulator now wants insurers to launch customised, innovative products and give customers more choice and benefits



On June 17, market regulator SEBI instructed the Association of Mutual Funds in India (AMFI), the MF industry body, to terminate bundled mutual funds. For several years now, there have been mutual fund schemes that bundle life insurance on select schemes as well as SIPs. Likewise, two asset management companies (AMCs)—LICMF and UTI—have for long managed and run two schemes that mix insurance with investments, somewhat similar to the unit-linked insurance plans (ULIP) offered by life insurers. These mutual fund schemes offer mortality benefits that pass to the nominees of the investor on death.

For many years now, mutual funds have bundled life insurance with schemes to attract long-term investors. Such bundled products are available with the SIP option in investments. The sum assured is typically linked with the amount and tenure of the SIP. For instance, an AMC would fix a minimum tenure on the SIP to take advantage of the insurance benefits, which could be three years to begin with. The sum assured as part of the insurance component would range anywhere from 100-120 times the monthly SIP instalment or capped at Rs 50 lakh.

The insurance cover in such cases is the pure risk term policy with no savings or investment component. Moreover, the bundled term plan is like a group insurance that the AMC buys from an insurer with the investors who opt for such a scheme being the members in the group. This has been a very good tool to take additional life insurance cover with just a self declaration or undertaking of good health by the insurer at the time of taking such a bundled product. This is a good way to take life insurance for people who may otherwise not get a policy due to their age or the policy premiums on a standalone policy is too high for them.

THE BUNDLED TERM PLAN WAS A GOOD WAY TO GET LIFE INSURANCE FOR THOSE WHO OTHERWISE COULD NOT AFFORD A POLICY DUE TO AGE OR HIGH PREMIUMS

Likewise, for several investors following the goal-based investment plan—such an investment option allowed them to be prepared for eventualities without compromising on the financial goal. The death benefit in these products would ensure that the investors get an assurance that there will be money as per their investment plans even in the case of the death of the investors committing to the SIP. For AMCs, such a bundled product allowed them to attract investors which also encouraged them to stick with a scheme to keep the insurance cover on.

The cover, in the case of such mutual fund schemes, would cease by the age of 55 years of the investor, or as the SIP matures or if it